aftermath of the Mundhra affair. ‘Not till now but invariably after the LIC case.’[24] Till then it had been unthinkable that a minister after giving clear orders would then deny that he had done so. Another high functionary who came away with reduced stature was the RBI Governor, H.V.R. Iengar. Iengar in his deposition claimed not to have heard the conversation between T.T.K. and Patel when the latter was given orders to use LIC funds for purchasing Mundhra shares. According to B.K. Nehru, Iengar’s statement was not ‘generally believed’ and his ‘temporary loss of hearing’ contributed to diminishing the ‘prestige of the office of the Governor of the Reserve Bank of India.’[25]

Prime Minister Nehru asked B.N. Mullik, Director, Intelligence Bureau, to conduct a secret enquiry to decide the extent of T.T.K.’s role and responsibility in the whole episode. He said that though T.T.K. had resigned on a question of principle and he was accepting the resignation, he was not convinced from Justice Chagla’s judgment that T.T.K. had received a proper hearing.[26] Mullik’s findings were that T.T.K. was not directly involved in the deal but did not resist it when the matter was put to him twice. Also, for political reasons, the British India Corporation based in Kanpur could not be allowed to fail. Mullik gave T.T.K. a clean chit, saying there was no question of dishonesty or personal gain on his part.[27] Prime Minister Nehru, in an unprecedented gesture, personally went to the airport to bid T.T.K. farewell.[28]